

Module 9: Branding

Transcript Knowledge Clips

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Knowledge Clips Included:

- 1. What is a brand? — 12 min 07 sec
- 2. What can be branded? — 08 min 29 sec
- 3. The strategic brand management process — 16 min 11 sec

A Few Words in Advance

In Module 9 on branding, there are a total of three knowledge clips. Below, you will find the full transcript of the content covered in these clips. This text is provided allowing you to decide for yourself whether and how to use it while studying. By offering the literal transcript, you can concentrate more on watching and listening to the knowledge clips, rather than transcribing them yourself.

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That just leaves me to wish you lots of success and enjoyment as you dive into this introduction to Strategic Brand Management!

— *Prof. Dr. Tine De Bock*

What is a Brand?

Duration: 12 minutes 07 seconds

Definition of a Brand

A brand can be very powerful. We all know brands like Apple, Nike and Coca Cola. But what is a brand? When talking with marketers, we often get very different definitions. In industry, people often define a brand as something that actually creates a certain amount of awareness, reputation, prominence, and so on, in the market place. But this is a rather poor definition since awareness, reputation and prominence are *consequences* of good branding strategies. Defining something by its consequences is generally not recommendable. So what is a brand? Talking about strategic brand management is not possible without defining 'brands'.

The **American Marketing Association** defines a brand as: *a name, term, design, symbol or any other feature that identifies one seller's good or service as distinct from those of other sellers.*

Key Highlights of the AMA Definition

There are several things we can highlight from this definition:

- **Identification:** Seeing elements from the brand allows you to detect who produced the product or service.
- **Applicable to both goods and services:** Branding is important for products, but also for services. Services are heterogeneous and difficult to value, and as a result, the brand will often drive customers to engage with the service brand.
- **Differentiation:** Brands are identifiers — they help the organization to differentiate from competitors. Brands play key roles in the entire process of segmentation, targeting and positioning.
- **Brand elements:** A brand is built up from many things called brand elements — names, terms, designs, and symbols are just a few examples.

The Difference Between a Product and a Brand

Is every product a brand? And is every brand a product? The answer is no. To understand this, we need to look at the different layers of products:

- **Core benefit:** The fundamental need or want that consumers satisfy by means of the product.
- **Generic product:** The basic version of the product — a stripped-down version that performs adequately.
- **Expected product:** The set of attributes and characteristics that consumers normally expect and agree upon when purchasing.
- **Augmented product:** The additional attributes, benefits, and related services that distinguish a product from competitors.
- **Potential product:** All augmentations and transformations that a product might undergo in the future when new production processes or technology becomes available.

Just think about an iPhone. The *core benefit* is to manage information flows and establish communication with others. The *generic product* is basically a communication device. The *augmented product* is all about additional benefits, such as an enhanced personal image that competitors cannot offer. As for *potential product*, Apple might create an iPhone out of graphene — a flexible material including flexible electrical circuits.

As Theodore Levitt clearly illustrates: gaining a competitive advantage is no longer about what companies produce. The generic product itself is no longer enough. Nowadays, organizations compete in terms of offering augmented products. So, a brand is really a lot more than a product.

Brands as Functional and Emotional Tools

Imagine going through a store and noticing that brands no longer exist. All products are offered in white packages without brand names. How would you pick the right cereal, for example? This illustrates that brands' original purpose was something very functional.

Brands serve multiple functional roles:

- A **source of identification** for a product.
- A way to **assign responsibility** to the one who created and delivered the product.
- A **signal about quality** customers can expect — a promise from the maker about the level of quality that will be offered.
- A **risk-reducing device**: Brands can help alleviate functional risks (will the product work?), physical risks (will it threaten my health?), financial risks (is it worth the price?), social risks (will I get embarrassment?), psychological risks (will it affect my mental well-being?), and time risk (will failure cost me time finding another product?).

- A way to **reduce search costs** — both internal (how much consumers have to think) and external (how much they have to look around). Based on what consumers already know about the brand, they can make inferences about new products.

- **Symbolic devices** to project consumers' self-image and communicate their values to others.

Yet, consumers can also become **emotionally attached** to brands. A famous case is Coca-Cola's "New Coke" in the 1980s. Coca-Cola was facing pressure from Pepsi, which had beaten it in blind taste tests. They developed a new formula tested with over 190,000 customers — results were positive. Yet the launch failed massively. Coca-Cola completely underestimated the emotional connection people had with the old Coke. People were nostalgic, considered it part of their heritage, and had established strong emotional relationships with it.

Brand Strength: Performance vs. Imagery

A brand is more than a product because it can have dimensions that differentiate it in some way from other products designed to satisfy the same need. These differences can be very rational (like better product performance) or symbolic, emotional, or intangible.

- **Superior performance:** Brands like Gillette or Amazon create competitive advantage through relentless R&D; investment.

- **Superior imagery / emotional connection:** Coca-Cola is just one way to deal with your thirst — but it brings emotional benefits that pure product performance cannot attain.

Benefits of Brands for Manufacturers

Brands also bring several benefits for manufacturers and organizations:

- **Simplify handling and tracing** — allowing people to identify products.

- **Legal protection** — through registered trademarks, patents for manufacturing processes, and copyrights for packaging.

- **Signal of quality level** to satisfied customers — a means of endowing products with unique associations.

- **Competitive advantage** — organizations with strong brands outperform competitors.

- **Financial returns** — organizations typically pay a price premium of about 15% during mergers and takeovers just to acquire brand rights. For a typical fast-moving consumer goods company, as much as 60% of intangible assets are made up by brands.

According to Brand Directory, the ten strongest brands in the world have enormous monetary value. To buy the Amazon brand, you would have to pay over \$220 billion just for the brand

name, logo, and other brand elements. Interestingly, Chinese brands are increasingly appearing on these global rankings — a significant shift from the American-dominated lists of the past.

What Can Be Branded?

Duration: 08 minutes 29 seconds

Overview

If we think about branding and strategic brand management, it is quite likely that we mostly think about products. But are products the only application area? The answer is no. Branding becomes important whenever people are in a **choice situation** — whenever people need to choose between different options, branding can be applied to better demonstrate the benefits of one option over another.

1. Physical Goods

Branding is mainly applied to physical goods, and this is not surprising. Physical goods can typically be copied easily, so what makes the difference between them? A brand.

Intuitively, one might think about B2C goods as the main application area, but this is not true. Branding is also very important in the **B2B (business-to-business) context**. Think about Boeing or Airbus — they developed strong brands to support the sales of their airplanes. Or John Deere, a strong brand of agricultural machines. Or FedEx, Cisco, or Intel — organizations that mainly operate in the B2B sector but developed strong brands that support their activities.

2. Services

For services, brands are of vital importance to attract customers. Services are intangible, and as a result, customers have a hard time evaluating them before purchase. A brand can signal a certain quality that might ultimately convince the customer. Branding also helps customers to navigate a service firm's complex offering.

An important note: branding services can be quite challenging. Service brands are also influenced by **employee behavior**. If an employee misbehaves towards a customer, this damages brand equity. Conversely, service organizations often employ people who are their own brand — for example, Richard Branson is as much a brand as Virgin itself.

Service organizations need to interpret 'services' broadly: digital platforms like Google, Airbnb, or Amazon are actually service providers.

3. Retailers

Retailers benefit from branding too. They typically sell a lot of brands, but they need to invest in their own branding to attract customers to their stores. In recent decades, retailers changed the market by introducing **private labels and store brands** — another way to increase customer loyalty and negotiate better deals with brand manufacturers.

The same logic applies to online retailers. Organizations like CoolBlue or Zalando need to invest significantly in branding to get well-known among customers and to illustrate the benefits of online retail over traditional stores.

4. Organizations

Organizations themselves also benefit from branding. For example, Procter & Gamble sells some of the most well-known brands in the world, but is also a strong brand itself. One benefit is that the organization can attract **financial capital more easily**.

Moreover, having a strong organizational brand might help in **employer branding** — targeting two groups:

- **Potential employees:** to attract the greatest talent to the organization.
- **Existing employees:** to convince them to remain within the organization.

5. People

People also benefit from branding. Politicians might use branding to gain more votes. Pop stars develop certain images to sell more records or get more bookings. Think about what Madonna did over four decades, or how Lady Gaga and Beyoncé clearly differentiated themselves from other performers.

6. Sports, Arts & Entertainment

Organizations in sports, arts and entertainment can also benefit from branding.

FC Barcelona, for example, is organized as a registered association. People cannot buy shares but instead get a membership. Barcelona needs to invest in branding to attract new members and to illustrate the benefits of being a member so that existing members want to stay. The same goes for museums or other entertainment organizations.

7. Cities & Places

City branding became a hot topic in recent years. Cities are competing with each other to position themselves as the best place to visit — tourism generates enormous revenue. The Covid-19 situation illustrated how much certain cities depend on tourism revenue.

Cities think about what unique benefits they offer tourists, how to position themselves against competitors, and invest in promotions. For example, Brussels developed the Visit Brussels agency to bolster the image of the Brussels capital region and put it on the local and international map as the capital of 500 million Europeans — a cosmopolitan place with links to the rest of the world. Beyond tourism, cities also brand themselves as interesting locations to do business, attracting organizational investment.

8. Nonprofit Organizations

Nonprofit organizations also benefit from engaging in branding. They need to demonstrate why consumers should donate to them and not to other causes. They need to develop a set of associations that make people understand why their particular cause is important and engage in marketing activities to promote donation behavior.

This might sound unusual — one might argue it is better to invest money directly in the cause rather than in branding. However, branding is an **investment**. If done well, it generates a higher return.

9. Personal Branding

And what about yourself? Can you apply branding principles to yourself? Absolutely! Personal branding is becoming more and more important in the search for a job or when attracting money from investors. Key questions include:

- Who are you?
- What benefit can you offer that others cannot?
- Which associations surround my personal brand?
- How do I communicate about my brand?

Summary

Branding is really applicable to about anything. Anytime people face a choice — whether it is about choosing a physical product or service provider, a retailer, employer, artist, or a good cause — branding can be useful. And the principles of branding apply equally to individuals.

The Strategic Brand Management Process

Duration: 16 minutes 11 seconds

Introduction

What are we doing it for? What is the major outcome of brand management? And how does it work? This clip addresses these fundamental questions about strategic brand management.

What is Brand Equity?

One of the most powerful concepts in marketing is **brand equity**. The goal of branding is to create brand equity.

According to **Keller**, one of the founding fathers of branding, brand equity relates to the fact that *“different outcomes result from the marketing of a product or service because of its brand, rather than if that same product or service had not been identified by that brand.”*

The **Marketing Science Institute** defines brand equity as: *“The set of associations and behaviors on the part of the brand’s customers, channel members, and parent corporation that permits the brand to earn greater volume or greater margins than it could without the brand name, and that gives the brand a strong, sustainable, and differentiated advantage over competitors.”*

In layman’s terms: brand equity is the reason why people are willing to pay twice the price for a black t-shirt when the name “Adidas” is printed on it, even if the core product might be exactly the same.

Strategic brand management involves the design and implementation of marketing programs and activities to **build, measure, and manage brand equity**. Building brand equity requires creating a brand that consumers are sufficiently aware of and with which they have strong, favorable and unique associations — relevant and different from competitors.

The 4 Basic Principles of Branding and Brand Equity

1. **Brands enable differences in outcomes** — a product becomes more valuable when it is branded than when it is not. The added value endowed to the product through branding generates better organizational outcomes.

2. **Added value can be created in various ways** — there is not just one road to success. This makes branding quite challenging. Many roads lead to success, but as many or more lead to failure. Brand management is not an exact science, but scientific insights can increase the chance of choosing the correct road.

3. **Brand equity as a common denominator** — for every euro or dollar spent on marketing, organizations should ask: “Is this really improving my brand equity or not?” If not, the money should be spent differently.

4. **Brand value can be manifested in many ways** — brands can generate greater sales but also lead to cost reductions. For example, established brands need to invest less in attracting new channel partners (who already know and seek out the brand). Strong brands also have a higher probability of attracting talent — working at Google versus an unknown brand speaks for itself.

Customer-Based Brand Equity (CBBE)

To make brand equity more manageable, Keller introduced the concept of **Customer-Based Brand Equity (CBBE)**. In essence: *brands are strong when they have a high level of awareness and favorable associations in the target group.*

There can be many consequences of brand equity:

- **Greater loyalty** and less vulnerability to competitive actions.
- **Larger margins** — a more elastic response to price decreases (gaining more market share easily) and a more inelastic response to price increases (losing less market share).
- **More trade cooperation and support** — strong brands can sell through more channels more easily.
- **Higher marketing communication efficiency and effectiveness** — new communications activate existing brand associations; there is no need to build associations from scratch.
- **Licensing and brand extension opportunities** — for example, Sanrio licensed its Hello Kitty character to Eva Air, a Taiwanese airline, which created a complete Hello Kitty in-flight experience. This only works with a strong, recognized brand.

Building Brand Equity: The Key Drivers

How do we trigger brand awareness and brand associations?

1. **Brand elements:** The brand name, logo, symbols, characters, packaging, and slogan are key drivers of brand awareness and associations. These must be chosen carefully and designed well.

2. **Secondary associations:** We might leverage associations from the company, the country of origin, endorsers, or events. For example, “Belgian beer” already triggers different associations than just “beer.”

3. **Marketing programs:** We need to develop marketing campaigns that build the brand through new product development, pricing innovations, distribution channels, and marketing communications — including digital and social media strategies.

The Strategic Brand Management Process: 4 Steps

How do you manage the brand? It involves four key steps:

Step 1: Identify and Establish Brand Positioning & Values

This is the **strategic phase**. It requires conducting market research to understand customer needs, develop customer segments, and think about positioning. This phase is all about uncovering brand associations and establishing the brand's positioning in the market.

Step 2: Plan and Implement Brand Marketing Campaigns

In this step, we design the brand, choose the right brand elements, and potentially leverage secondary brand associations. We develop marketing campaigns and think about marketing in a digital world — whether to involve social media, how to develop the website, and other digital touchpoints.

Step 3: Measure and Interpret Brand Performance

We roll out the brand management program and measure how the brand is performing. This involves:

- **Brand audits** — comprehensive assessments of brand health.
- **Brand metrics** — establishing key performance indicators.
- **Measuring brand associations** — through a variety of quantitative and qualitative techniques.

Step 4: Grow and Sustain Brand Equity

In the final step, we think about how to increase and sustain brand equity over time. Key questions include:

- What if we have multiple brands? How do we manage a brand portfolio?
- What about **brand extensions**? Should we launch an additional product under the same brand name?
- How do we evolve from **brand experience** to **customer experience**, which involves the entire organization?

Closing Reflection: Don't Sell Products, Sell Dreams

The major goal of branding is to build brand equity. This clip provided a sneak preview of how to design brands and what brand managers must do to create strong brands.

Steve Jobs, one of the greatest marketers who ever existed, had a profound understanding of customers and markets, and built one of the strongest brands in the world. His mantra: “**Don't Sell Products, Sell Dreams.**” This philosophy encapsulates the essence of strategic brand management — building emotional connections and delivering value that goes far beyond the physical product.